

U.S. DEPARTMENT OF AGRICULTURE
WASHINGTON, D.C. 20250

DEPARTMENTAL REGULATION	NUMBER: DR 1521-002
SUBJECT: Legal Review and Execution of Personnel Settlement Agreements	DATE: December 26, 2023
OPI: Office of the General Counsel	EXPIRATION DATE: December 26, 2028

<u>Section</u>	<u>Page</u>
1. Purpose	1
2. Special Instructions/Cancellations	1
3. Scope	2
4. Policy	2
5. Roles and Responsibilities	3
6. Inquiries	4
Appendix A – Acronyms and Abbreviations	A-1
Appendix B – Definitions	B-1
Appendix C – Authorities and References	C-1

1. PURPOSE

This Departmental Regulation (DR) establishes the United States Department of Agriculture (USDA) requirements for obtaining legal sufficiency review and concurrence for monetary personnel settlement agreements for certain thresholds. This DR also sets forth the level of authority necessary for the execution of settlement agreements by USDA Mission Areas, agencies, and staff offices.

2. SPECIAL INSTRUCTIONS/CANCELLATIONS

This DR, in tandem with [DR 1521-003](#), *Legal Review and Execution of Settlement Agreements for Program Civil Rights Matters*, supplements [DR 1521-001](#), *Legal Review and Execution of Non-Personnel and Non-Program Civil Rights Settlement Agreements*.

3. SCOPE

This DR applies to all USDA Mission Areas, agencies, and staff offices.

4. POLICY

- a. It is the policy of USDA that monetary settlement agreements be entered into by individuals within Mission Areas, agencies, and staff offices at sufficiently high levels of authority to ensure that the settlements are in the best interests of the Government. It also is the policy of USDA that monetary settlement agreements above certain thresholds as specified in Section 4c, below, be reviewed by and concurred with by the Office of the General Counsel (OGC).
- b. It is the policy of USDA that, if after reviewing, OGC deems a draft monetary settlement agreement legally insufficient or otherwise does not concur, the settlement agreement shall not be entered into by the submitting USDA Mission Area, agency, or staff office. OGC's legal sufficiency review and concurrence is in addition to existing processes that USDA Mission Areas, agencies, and staff offices use for negotiating and processing monetary settlement agreements including regulations identified in Appendix C, *Authorities and References*.
- c. Guidance Specific to Personnel Settlement Agreements.
 - (1) It is the policy of USDA to ensure that all personnel complaints, including informal and formal Equal Employment Opportunity (EEO), Office of Special Counsel (OSC), or Merit Systems Protection Board (MSPB) complaints, or in coordination with the Department of Justice (DOJ) any Federal court matter arising therefrom are resolved expeditiously, cost efficiently, and at the lowest level possible.
 - (2) All personnel settlements, whether at the informal or formal stage, require a Resolving Official (RO) to resolve the matter on behalf of the Secretary and USDA.
 - (3) If the RO must consult with another USDA official in accordance with this directive who is not present at the settlement discussion or alternative dispute resolution (ADR) efforts, such official must be immediately accessible to the RO during settlement discussions or other ADR efforts.
 - (4) It is the policy of USDA that prior to making a settlement offer to, or agreeing to a settlement offer from, an opposing party for a personnel settlement agreement in an amount of \$50,000 or more, including attorneys' fees, all USDA Mission Areas, agencies, and staff offices first submit the offer to OGC for legal sufficiency review and concurrence. This requirement applies to formal or informal settlements of EEO, OSC, and MSPB matters or in coordination with the DOJ any Federal court matter arising therefrom.

- (5) It is the policy of USDA that prior to making a settlement offer to, or agreeing to a settlement offer from, an opposing party for a personnel settlement agreement, all USDA Mission Areas, agencies, and staff offices first submit the offer to OGC for legal sufficiency review and concurrence if the offer:
 - (a) Places a political appointee of USDA on a detail outside of USDA or on an Intergovernmental Personnel Act (IPA) agreement for 1 year or more; and
 - (b) USDA retains the obligation to pay the employee's salary and benefits during the duration of the detail or IPA agreement.

This requirement applies to formal or informal settlements of EEO, OSC, and MSPB matters or in coordination with the DOJ any Federal court matter arising therefrom.

5. ROLES AND RESPONSIBILITIES

- a. The USDA General Counsel will provide legal sufficiency review and concurrence or nonconcurrence for settlement agreements above certain thresholds as set forth in Section 4, *Policy*.
- b. USDA Mission Area Heads, Agency Heads, and Staff Officer Directors will:
 - (1) Take the necessary steps to ensure awareness of and compliance with this directive within their organization, and to ensure that settlement agreements above the thresholds set forth in Section 5d, *Approving Official Levels for Personnel Settlement Agreements* below are provided to the General Counsel for advice, required legal sufficiency review, and concurrence; and
 - (2) Take the necessary steps to ensure that settlement agreements are approved by individuals with sufficient authority within the organization.
- c. Resolving Officials should:
 - (1) Consult with management and appropriate USDA personnel prior to any settlement negotiation. The consultation should include acquiring knowledge of the basic facts of the case, significant legal issues involved in the case, and any recommendations for settlement prior to beginning any settlement negotiation. Consultation may include reviewing any written summary or oral briefing on the facts and legal issues of the case. The sole purpose of any consultation is to allow the RO to gather information the RO deems necessary to make informed decisions in the best interest of the Secretary;

- (2) Ensure that any settlement agreement is in the best interest of the Government. The RO should strive to assess the Government's position through a fair assessment of liability risk and equitable considerations;
 - (3) Negotiate in good faith;
 - (4) Agree to terms for resolution only within the limits of their authority. If the RO is unsure whether they have the authority to offer or approve a requested remedy, the RO will stop the settlement discussions until they obtain clarification on the scope of their settlement authority; and
 - (5) Seek consultation of the General Counsel if uncertain regarding the meaning or effect of a proposed settlement agreement or individual settlement term. If any concern exists regarding the legality of a proposed term, the RO must consult with the General Counsel before placing a signature on the settlement agreement.
- d. Approving Official Levels for Personnel Settlement Agreements:
- (1) ROs at the Senior Executive Service (SES), Senior Level (SL), Scientific and Professional Level (ST), or higher level, will approve personnel settlement agreements of up to \$5,000, inclusive of all monetary and non-monetary relief that carries a dollar value and attorneys' fees. The General Counsel can consult on terms as needed for legal sufficiency.
 - (2) Agency Heads, Staff Office Directors, or higher, will approve personnel settlement agreements of \$5,001 to \$49,999, inclusive of all monetary and non-monetary relief that carries a dollar value and attorneys' fees. OGC encourages submission to the General Counsel for legal sufficiency review.
 - (3) Under Secretaries, Assistant Secretaries, or higher, will approve personnel settlement agreements of \$50,000 or more, inclusive of all monetary and non-monetary relief that carries a dollar value and attorneys' fees. These agreements also require concurrence by the General Counsel prior to execution, as set forth in Section 4.

6. INQUIRIES

USDA Mission Areas, agencies, and staff offices should direct questions and inquiries regarding this DR to OGC at telephone number 202-720-3351.

-END-

APPENDIX A

ACRONYMS AND ABBREVIATIONS

ADR	Alternative Dispute Resolution
DOJ	Department of Justice
DR	Departmental Regulation
EEO	Equal Employment Opportunity
EEOC	Equal Employment Opportunity Commission
IPA	Intergovernmental Personnel Act
MSPB	Merit Systems Protection Board
OGC	Office of the General Counsel
OSC	Office of Special Counsel
REE	Research, Education, and Economics
RO	Resolving Official
SES	Senior Executive Service
SL	Senior Level
ST	Scientific and Professional Level
USDA	United States Department of Agriculture

APPENDIX B

DEFINITIONS

Agency. Organizational units of the Department, other than staff offices as defined in the “Staff Office” definition below, whose heads report to officials within the Office of the Secretary, Deputy Secretary, Under and Assistant Secretaries. (Source: USDA, [DR 0100-001](#), *Departmental Directives System*)

Approving Official. A USDA employee at the Deputy Administrator for Management (or equivalent position) or higher with delegated authority to approve the monetary settlement terms proposed by RO for resolution of a matter or case on behalf of the Secretary and USDA when the proposal meets the criteria of Section 5d in this DR.

Mission Area. A group of agencies with related functions that report to the same Under or Assistant Secretary. Research, Education, and Economics (REE) is an example of a Mission Area. (Source: USDA, DR 0100-001)

Personnel Settlement Agreement. Proposed monetary resolution terms, offers of resolution, or written agreements to resolve informal or formal Equal Employment Opportunity (EEO) complaints pending in the Department or at the Equal Employment Opportunity Commission (EEOC), matters pending before the Office of Special Counsel (OSC), appeals pending before the Merit Systems Protection Board (MSPB), or in coordination with the DOJ any Federal court matter arising there from.

Resolving Official (RO). A USDA employee at the Senior Executive Service (SES), Senior Level (SL), or Scientific and Professional level (ST) or higher level with delegated authority to resolve a matter or case on behalf of the Secretary and USDA. In personnel settlements, the RO should not be the responsible management official or an official directly involved in the facts of the case, as determined by the Mission Area, agency, or staff office, and should be at the same organizational level or higher of the responsible management official. The RO may be someone from a different subcomponent of the Mission Area, agency, or staff office involved.

Staff Office. Departmental administrative offices whose heads report to officials within the Office of the Secretary. (Source: USDA, DR 0100-001)

APPENDIX C

AUTHORITIES AND REFERENCES

[7 CFR § 2.31](#), *General Counsel*

USDA, [DM 4300-001](#), *EEO Complaint Processing Procedures*, July 20, 2001

USDA, [DR 0100-001](#), *Departmental Directives System*, January 4, 2018

USDA, [DR 1312-002](#), *Cooperation with the Office of the Special Counsel, Merit Systems Protection Board*, July 17, 1986

USDA, [DR 1521-001](#), *Legal Review and Execution of Non-Personnel and Non-Program Civil Rights Settlement Agreements*, February 6, 2024

USDA, [DR 1521-003](#), *Legal Review and Execution of Settlement Agreements for Program Civil Rights Matters*, December 26, 2023

USDA, [DR 4300-002](#), *Federal Equal Opportunity Recruitment Program Plan*, October 18, 1984

USDA, [DR 4300-003](#), *Equal Opportunity Public Notification Policy*, October 17, 2019

USDA, [DR 4300-007](#), *Processing Equal Employment Opportunity (EEO) Complaints of Discrimination*, August 4, 2021

USDA, [DR 4710-001](#), *Alternative Dispute Resolution*, April 5, 2006